SESSION 3: CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

In this session, we learn to prepare consolidated statement of changes in equity.

Objectives

At the end of this session, you should be able to:
prepare a consolidated statement of changes in equity for a parent and a subsidiary

Consolidated Statement of Changes in Equity [CSCE]

The consolidated statement of changes in equity shows the changes in group equity, reconciling the position at the start of the year with the position at the end of the year.
There are separate analysis columns for each type of share capital and reserves in respect of the parent's equity holders.

Changes in the non-controlling interest in share capital and reserves are presented in a single column.

Structure of consolidated changes in equity
The CSCE serves as a link between the consolidated statement of comprehensive income and the figures for equity shown in the consolidated statement of financial position, in that it shows the movement between the retained earnings brought forward at the start of the year and those carried forward at the end of the year.

a) Owners of the parent:
   - There are separate analysis columns for each type of share capital and reserves, together with a total column.
   - There will nearly always be entries for total comprehensive income for the year and dividend paid or payable. Total comprehensive income for the year will be the statement of comprehensive income profit for the year plus any item of 'other comprehensive income'.
   - There will sometimes be entries for issues of share capital and revaluations or property, plant and equipment and 'available for sale' financial assets. Revaluation gains or losses will be shown as part of total comprehensive income

b) Non-controlling interest in subsidiaries
   - There is only a single column, which is the equivalent of the total column for the owners of the parent.
   - There will nearly always be entries for NCI's share of Subsidiary's total comprehensive income for the year and dividend paid/payable
   - There will sometimes be entries for subsidiary's revaluations of PPE and other reserve items of the subsidiary.
   - In practice, there will sometimes be entries for issues of share capital by subsidiary,
   - There will never be a value for transfers between reserves in subsidiary, because they contra out against each other

- If a non-wholly owned subsidiary is acquired during the year, there will be an entry for NCI added on the acquisition of a subsidiary

Illustration 1
The following are extracts from the financial statements for the year ended 31 December 2025 of Aduana Ltd and Boafo Ltd.

Statement of Comprehensive Income for the for the year ended 31 December 2025

	Aduana GH¢	**Boafo GH¢**
Operating profit	196	95
Dividend from Boafo	24	-
Profit before tax	220	95
Tax expense	(70)	(30)
Profit for the year	**150**	**65**
Ordinary share capital @ GH¢1	200	50

Aduana Ltd purchased 40,000 shares in Boafo Ltd in 2020. Aduana Ltd.'s retained earnings at 1 January 2025 were GH¢270,000.

Required
Prepare consolidated statement of comprehensive income for the to 31 December 2025, and a consolidated statement of changes in equity for the same period.

Solution 1

Aduana Group
Statement of Comprehensive Income for the for the year ended 31 December 2025

	GH¢
Operating profit (196,000+95,000)	291,000
Tax (70,000+30,000)	(100,000)
Profit for the year	**191,000**
Profit for the year Attributable to:	
Parent/Group (191,000-13,000)	178,000
NCI (20% x 65,000)	13,000
	191,000

Consolidated Statement of Changes in Equity for the year to 31 December 2025

	Share capital GH¢	Retained Earnings GH¢	Group Total GH¢	NCI GH¢	Total Equity GH¢
Balance b/d-1 January 2025	200,000	270,000	470,000	10,000	480,000
Share of profit for the year		178,000	178,000	13,000	191,000
Dividend Paid		(20,000)	(20,000)	(6,000)	(26,000)
Balance c/d - 31 Dec 2025	**200,000**	**428,000**	**628,000**	**17,000**	**645,000**

Explanatory note

1. Consolidated statement of changes in equity (CSOCIE) reconciles the opening equity balances with the closing equity balances in the current reporting period.
2. It traces movement in equity balances from the beginning of the reporting period to the end of the reporting period.
3. The group opening balance is made up of the parent 100% opening equity balances plus parent's share of the subsidiary post-acquisition profit, from the date of acquisition to the beginning of the reporting date (200,000+270,000). In this question there is no information on the post-acquisition profits of the subsidiary.
4. The opening balance for NCI is the NCI share of the subsidiary net assets(equity) at the date of acquisition plus the NCI share of the PAP of the subsidiary (20% x 50,000). There is no information on PAP.
5. Profit for the year attributable to the group is added to the parent's retained earnings and the share attributable to NCI is added to NCI.
6. For the group, dividend will be parent's dividend paid to the parent's shareholders. Remember the parent's share of subsidiary dividend is eliminated. NCI share of subsidiary dividend will be shown under NCI. Total dividend paid by subsidiary = 30,000 (100/80x24,000).

Transfers to reserves

Some companies transfer amounts from retained earnings to named reserves. Such transfers are made in the analysis columns in the CSOCIE and are therefore shown net of NCI.

In the analysis columns in the CSCE

Group transfers between reserves	=	P's transfers between reserves	+	P% of S's transfers between reserves

This matches with the treatment of reserves attributable to the owners of P in the consolidated statement of financial position, i.e. they include P's reserves and P's share of S's post-acquisition reserves.

Retained earnings brought forward
To calculate each of the group reserves brought forward, simply do a working, as you would for the consolidated statement of financial position, **but at the start of the year**. Therefore each group opening reserve will be:

Group Reserve b/f	=	P's reserve b/f	+	P% of S's post-acquisition reserve b/f	+	Goodwill impairment (to start of year) and any other acquisition to opening position

Point to note
The NCI amount brought forward will be the **NCI share of S's equity** (ie NCI's share of S's capital and reserves) brought forward.

Illustration 2: Retained earnings brought forward
Continuing the facts from Illustration 1: CSOCIE, now assume that Boafo Ltd's retained earnings at 1 January 2025 were GH¢120,000.

You have also now ascertained that when Aduana Ltd purchased its 40,000 shares in Boafo Ltd, Boafo Ltd's retained earnings stood at GH¢70,000.

Three years ago a goodwill impairment loss of GH¢10,000 was recognised in Aduana Ltd's consolidated financial statements.

Requirement
Adjust the previously drafted consolidated statement of changes in equity for Aduana Ltd for the year ended 31 December 2025 to take account of the additional information.

Solution 2
Consolidated statement of changes in equity for the year ended 31 December 2025

	Share capital GH¢	Attributable to owners of Aduana Ltd Retained earnings GH¢	Total GH¢	Non-controlling interest GH¢	Total GH¢
Balance at 1 Jan 2025 (w)	200,000	300,000	500,000	34,000	534,000
Total comprehensive income for the year	-	178,000	178,000	13,000	191,000
Dividends	-	(20,000)	(20,000)	(6,000)	(26,000)
Carried forward	200,000	458,000	658,000	41,000	699,000

Working	GH¢
Group retained earnings b/f	
Aduana Ltd	270,000
Boafo Ltd (80% x (120,000 – 70,000))	40,000
Goodwill impairment to date	(10,000)
	300,000

	GH¢
NCI b/f	
Share capital (20% x 50,000)	10,000
Retained earnings (20% x 120,000)	24,000
	34,000

Illustration 3

The following are extracts from the statement of changes in equity of Praise and Sing for the year ended 31 December 2025:

Statement of Changes in Equity for the year ended 31 December 2025

	Praise GH¢	**Sing GH¢**
Balance b/d - 1 January 2025	3,363,000	1,021,200
Profit for the year attributable	614,400	120,000
Dividend paid	(120,000)	(48,000)
Balance c/d - 31 December 2025	**3,857,400**	**1,093,200**

The following additional information is available:

- Praised acquired 70% of Sing on 1 January 2022, when the total equity of Sing was GH¢578,400.
- Sing has not paid dividends since acquisition except the dividend of GH¢48,000 shown in the current year statement.
- The GH¢614,400 profits for the year in Praise does not include its share of dividend from Sing.
- The policy of the group is to measure the non-controlling interest as a proportion of net assets acquired.

Required:

Prepare Praise Group Consolidated Statement of Changes in Equity for the year to 31 December 2025.

Solution 3

Praise Group
Consolidated Statement of Changes in Equity for the year to 31 Dec 25

	Group GH¢	NCI GH¢
Balance b/d - 1 Jan 2025 (W1 & W2)	3,672,960	306,360
Profit for the year (W3)	698,400	36,000
Dividend Paid (NCI = 30%x48,000)	- 120,000	- 14,400
Balance c/d - 31 Dec 2025	4,251,360	327,960

Workings

1. Group Opening Balance-1 Jan 25	
Parent Opening Bal - 1 Jan 25	3,363,000
Share of PAP to 1 Jan 25-70%x (1,021,200-578,400)	309,960
	3,672,960

2. NCI Opening Balance-1 Jan 25	
NCI at acquisition -30%x578,400	173,520
Share of PAP to 1 Jan 25-30% x (1,021,200-578,400)	132,840
	306,360

3. Share of Group Profit for the Year	
Consolidated profit for the year (614,400+120,000)	734,400
NCI share of Profit for the year (30%x120,000)	36,000
Parent share of profit for the year (734,400-36,000)	698,400

Explanatory note

1. In illustration 3, the equity balances are all together as one figure for the parent. So the opening balance brought down of GH¢3,363,000 is the total equity balance brought down, which will include parent 100% share capital and retained earnings.
2. Pay attention to the question – the two statements are parent's statement of changes in equity and that of the subsidiary. These two statements are used to prepare the consolidated SOCIE.
3. The group opening balance brought down is the parent balance b/d on 1 Jan 2025 plus the parent share of the subsidiary PAP – (1 Jan 2022 to 1 Jan 2025). Refer to working 1.
4. NCI opening balance b/d = NCI share of subsidiary net assets at acquisition plus NCI share of subsidiary PAP from date of acquisition to the beginning of the reporting date (1 Jan 22 to 1 Jan 25).
5. Note that for NCI the opening balance b/d is same as 30% x GH¢ 1,021,200 = GH¢ 306,360